IFRS 2 Share-based payment

** New for SBR*

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CREATING great OUTCOMES

Share-based payment

Definition

Share-based payment has become increasingly common. Share-based payment occurs when an entity buys goods or services from other parties (such as employees or suppliers) and:

- settles the amounts payable by issuing shares or share options, or
- incurs liabilities for cash payments based on its share price.

Equity-settled share-based payments	Cash-settled share-based payments
*The entity acquires goods or service in exchange for **equity instruments** (shares or share option) of the entity*	*The entity acquires goods or service in exchange for **amounts of cash** measured by reference to **the entity's share price***

IFRS 2 requires that all share-based payment transactions must be **recognized** in the financial statements when the transaction takes place

Equity-settled share-based payment

*The **grant date** is the date at which the entity and another party agree to the arrangement*

*The **vesting date** is the date on which the counterparty becomes entitled to receive the cash or equity instruments under the arrangement*

*Where performance by the counterparty is not immediate the **expense is spread over the period** until the counterparty becomes entitled to receive the share-based payment (the **'vesting' period**).*

Principles:

- An entity should account for services **as** they are rendered during the vesting period.
- **The expense recognized at each reporting date should be based on the best estimate of the number of equity instruments expected to vest**
- On the vesting date, the entity shall revise the estimate to equal the number of equity instrument that ultimately vest

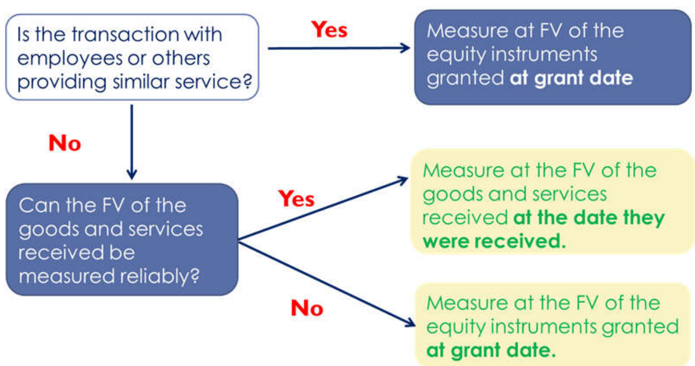
Equity-settled share-based payment

If the goods or services are received in exchange for **equity** (e.g. for share options), the entity recognizes an increase in equity.

Dr Expense / Asset

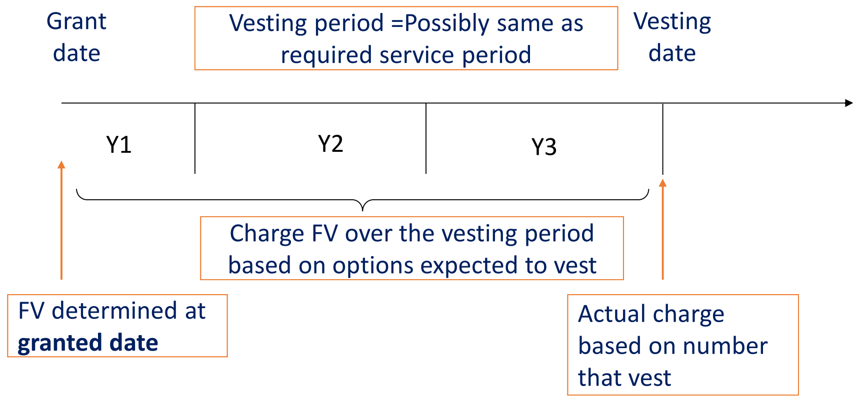
Cr Equity

The basic principle: all transactions are measured *at fair value.*



The entry to equity is normally reported in **other components of equity. Share capital will not affected until the share-based payment has vested*

Equity-settled share-based payment



TYU – Equity-settled share-based payment

An entity has a reporting date of 31 December.

On 1 January 20X1, an entity grants 100 share options on its $1 shares to each of its 500 employees. Each grant is conditional upon the employee working for the entity over the **next three years** (until 31 DEC 20X3) . The fair value of each share option as at 1 January 20X1 is $15.

During 20X1 **20** employees leave and the entity estimates that a total of 20% of the employee will leave during the three-year period and therefore forfeit their rights to share options.

During 20X2, a further **20** employees leaves and the entity estimates only 15% of the original 500 employees will leave during the three-year period and therefore forfeit their rights to share options.

During 20X3, a further **10** employees leaves.

Required:

Calculate the remuneration expense that will be recognized in each of the three years of the share-based payment scheme.

For Y/E 31 DEC 20X1

500*80%*100*15 * 1/3 =$200,000

Equity b/f	$0
Dr. Expense (COS – staff cost)	$200,000
Cr. Equity – share option/other component of equity	$200,000

For Y/E 31 DEC 20X2

Equity b/f	$200,000
Equity c/f 500*85%*100*15 * 2/3 =	**$425,000**
Dr. expense (COS)	$225,000
Cr. Equity – share option/other component of equity	$225,000

For Y/E 31 DEC 20X3

A total of 50 (20+20+10) employees left during the vesting period

Equity b/f	$425,000
Equity c/f (500-50)*100*15 * 3/3 =	**$675,000**
Dr. expense (COS)	$250,000
Cr. Equity – share option/other component of equity	$250,000

The financial statements will include the following amounts:

P/L	20X1	20X2	20X3
Staff cost(Expense)	200,000	225,000	250,000
SFP			
OCE	200,000	425,000	675,000

Equity-settled share-based payment

Vesting conditions
Conditions required to be complied with for share options to vest at the vesting date

Performance conditions
Achieving a specified increase in the entity's profit
The completion of a research project
Achieving a specified increase in the entity's share price

Service conditions
E.g. each employee completes the specified service conditions

Non-market conditions
Not related to market price
E.g. EPS or profit targets

Market conditions
*Related to **market price** of the entity*
E.g. the entity must attain a minimum share price by the vesting date

Equity-settled share-based payment

Non-market conditions
Taken into account at each reporting date when estimating the No. of option likely to vest.

Market conditions
Taken into account when determining the FV of the option at the grant date.

Consider whether an expense should be recognised in a reporting period

An EXPENSE is recognised <u>irrespective</u> of whether market conditions are satisfied.

TYU – Vesting conditions 1

On 1 January 20X1, one hundred employees were given 50 share options each. These will vest if the employees still work for the entity on 31 December 20X2 and if the share price on that date is more than $5.

On 1 January 20X1, the fair value of the options was $1. The share price on 31 December 20X1 was $3 and it was considered unlikely that the share price would rise to $5 by 31 December 20X2. Ten employees left during the year ended 31 December 20X1 and a further ten are expected to leave in the following year.

Required: How should the above transaction be accounted for in the year ended 31 December 20X1?

- The expense recognized is based on the **FV** of the options at **the grant date**, which will be spread over the vesting period.
- Two conditions attached in this share option scheme
  - ✓ ***Service condition*** (employees must still work on 1 Dec. 20X2)

    Basing on how many employees are expected to satisfy the service condition, we can calculate the expense to be recognized at year end.
  - ✓ ***Market based performance condition*** (the share price must be $5 at 31 Dec. 20X2)

Although the share price target will be difficult to hit, this condition has already been factored into the fair value of the options at the grant date. Therefore**, this condition can be ignored** when determining the charge to the statement of profit or loss.

The expense to be recognised should therefore be based on how many employees are expected to satisfy the service condition only.
(100 employees – 10 – 10)*50 options * $1 FV * 1/2 = $2,000.

The entry to recognize this is:
Dr. Profit or loss $2,000
Cr. Equity $2,000

TYU – Vesting conditions 2

On 1 January 20X4 an entity, Blueberry, granted share options to each of its 200 employees, subject to a three-year vesting period, provided that the volume of sales increases by a minimum of 5% per annum throughout the vesting period. A maximum of 300 share options per employee will vest, dependent upon the increase in the volume of sales throughout each year of the vesting period as follows:

- If the volume of sales increases by an average of between 5% and 10% per year, each eligible employee will receive 100 share options.
- If the volume of sales increases by an average of between 10% and 15% per year, each eligible employee will receive 200 share options.
- If the volume of sales increases by an average of over 15% per year, each eligible employee will receive 300 share options

(cont'd)

At the grant date, Blueberry estimated that the fair value of each option was $10 and that the increase in the volume of sales each year would be between 10% and 15%. It was also estimated that a total of 22% of employees would leave prior to the end of the vesting period. At each reporting date within the vesting period, the situation was as follows:

Reporting date	Employees leaving in year	Further leavers expected prior to vesting date	Annual increase in sales volume	Expected sales volume increase over remaining vesting period	Average annual increase in sales volume to date
31 Dec X4	8	18	14%	14%	14%
31 Dec X5	6	4	18%	16%	16%
31 Dec X6	2		16%		16%

Required:

Calculate the impact of the above share-based payment scheme on Blueberry's financial statements in each reporting period.

Rep. date	Calculation of equity	Equity ($000)	Expense ($000)	Working
31/12/X4	(174*200*$10)*1/3	116	116	1
31/12/X5	(182*300*$10)*2/3	364	248	2
31/12/X6	(184*300*$10)*3/3	552	188	3

1. At 31/12/X4 a total of 26 employees (8 + 18) are expected to leave by the vesting date meaning that 174 are expected to remain. Blueberry estimates that average annual growth in sales volume will be 14%. So eligible employees would each receive 200 share options at the vesting date
2. At 31/12/X5, a total of 18 employees (8 + 6 + 4) are expected to leave by the vesting date meaning that 182 are expected to remain. Blueberry estimates that the average growth in sales volume will be 16%. So it is estimated that eligible employees will each receive 300 share options at the vesting date.
3. A t 31/12/X6, it is known that total of 16 employees have left at some point during the vesting period, leaving 184 eligible employees. As average annual growth in sales volume over the vesting period was 16%, eligible employees are entitled to 300 share options each.

Answer

Equity-settled share-based payment

- **Accounting after the vesting date**
  - ✓ IFRS 2 states that **no further adjustments** to total equity should be made after the vesting date
  - ✓ Entities may **transfer** any balance from **'other components of equity' to retained earnings.**

TYU - Beginner

Beginner offered directors an option scheme conditional on a three-year period of service. The number of options granted to each of the ten directors at the inception of the scheme was 1 million. The options were exercisable shortly after the end of the third year. Upon exercise of the share options, those directors eligible would be required to pay $2 for each share of $1 nominal value.

The fair value of the options and the estimates of the number of options to vest at various points in time were as follows:

Year	*Rights expected to vest*	*Fair value of option* *$*
Start of Year 1	8m	0.30
End of Year 1	7m	0.33
End of Year 2	8m	0.37

At the end of year three, 9 million rights actually vested.

TYU – Beginner (cont'd)

Required:

a) *Show how the option scheme will affect FS for each of the three year of the vesting period*

b) *Show the accounting treatment at the vesting date for each of the following situation:*
   (i) The fair value of a share was $5 and all eligible directors exercised their share options immediately
   (ii) The fair value of a share was $1.5 and all eligible directors allowed their share options to lapse.

For Y1
7m*$0.3*1/3 =$700,000

Equity b/f	$0
Dr. expense (COS – staff cost)	$700,000
Cr. Equity – share option/other component of equity	$700,000

a)
Equity-settled share-based payments are measured using their FV at the grant date (the start of Y1)

For Y2

Equity b/f	$700,000
Equity c/f 8m*$0.3* 2/3 =	$1,600,000
Dr. expense (COS)	$900,000
Cr. Equity – share option/other component of equity	$900,000

For Y/E 31 DEC 20X3

Equity b/f	$1,600,000
Equity c/f 9m*0.3 =	$2,700,000
Dr. expense (COS)	$1,100,000
Cr. Equity – share option/other component of equity	$1,100,000

Answer

b) (i) All eligible directors exercised their share options immediately

Dr Cash 9m*$2	$18m
Dr Equity(share option)	$2.7m
Cr Share capital 9m*$1	$9m
Cr Share premium (bal. fig.)	$11.7m

(ii) No options are exercised

The amount recognized in equity $2.7 remains.

The entity can choose to transfer this to retained earnings

Answer

Equity-settled share-based payment

☐ Modifications to equity-settled share-based payment

- It might increase or reduce the exercise price of the options (the price that the holder of the options has to pay for shares when the options are exercised)
- It might change the vesting conditions, to make it more likely or less likely that the options will vest

➢ The entity must continue to recognize **the grant date fair value** of the equity instruments in profit or loss, unless the instruments do not vest because of a failure to meet a non-market based vesting condition.

➢ If the modification **increases the fair value** of the equity instruments, then an extra expense must be recognised:

- The **difference** between the fair value of the new arrangement and the fair value of the original arrangement (the incremental fair value) at the date of the modification must be recognised as a **expense** to P/L.
- The **extra expense** is spread over the period from the date of the change to the vesting date.

TYU – Modifications

An entity grants 100 share options to each of its 500 employees, provided that they remain in service over the next three years. The fair value of each option is $20.

During year one, 50 employees leave. The entity estimates that a further 60 employees will leave during years two and three.

At the end of year one the entity reprices its share options because the share price has fallen. The other vesting conditions remain unchanged. At the date of repricing, the fair value of each of the original share options granted (before taking the repricing into account) was $10. The fair value of each repriced share option is $15.

During year two, a further 30 employees leave. The entity estimates that a further 30 employees will leave during year three.

During year three, a further 30 employees leave.

Required: Calculate the amounts to be recognized in the financial statements for each of the three years of the scheme.

I. The repricing means the total FV of the arrangement has increased and this will benefit the employees.

II. So the entity must account for the increased remuneration expense, which based on the difference in the fair value of the option, immediately before and after the repricing.

	Equity	Expense
Year 1 original		
(500-50-60)*100*$20*1/3	**260,000**	**260,000**
Year 2 original		
(500-50-30-30)*100*$20*2/3	520,000	260,000
Incremental		
(500-50-30-30)*100*$5*1/2	97,500	97,500
	617,500	**357,500**
Year 3 original		
(500-50-30-30)*100*$20	780,000	260,000
Incremental		
(500-50-30-30)*100*$5	195,000	97,500
Answer	**975,000**	**357,500**

Equity-settled share-based payment

Cancellations and settlements

An entity may cancel or settle a share option scheme before the vesting date.

The entity **immediately recognizes the amount** that would otherwise have been recognized for services received over the vesting period

Any payment made to employees up to the **fair value** of the equity instruments granted **at cancellation or settlement date** is accounted for as a deduction from equity

Any payment made to employees in excess of the fair value of the equity instruments granted at the cancellation or settlement date is accounted for as an **expense** in P&L

TYU – Cancellation

An entity introduced an equity-settled share-based payment scheme on 1 January 20X0 for its 5 directors. Under the terms of the scheme, the entity will grant 1,000 options to each director if they remain in employment for the next three years. All five directors are expected to stay for the full three years. The fair value of each option at the grant date was $8.

On 30 June 20X1, the entity decided to base its share-based payment schemes on profit targets instead. It therefore cancelled the existing scheme. On 30 June 20X1, it paid compensation of $10 per option to each of the 5 directors. The fair value of the options at 30 June 20X1was $9.

Required:

Explain, with calculations, how the cancellation and settlement of the share-based payment scheme should be accounted for in the year ended 31 December 20X1.

The share option scheme has been cancelled. All the expense not yet charged through profit or loss must now be recognised in the year ended 31 December 20X1:

	$
Total expense 5 directors * 1000 options * 8	40,000
Less expense recognised in year ended 31 December 20X0 5 directors * 1000 options * 8 *1/3	(13,333)
Expense to be recognised	26,667

To recognise the remaining expense, the following entry must be posted:

Dr. Profit or loss $26,667

Cr. Equity $26,667

Answer

- Any payment made in compensation for the cancellation that is up to the fair value of the options is recognised as a deduction to equity.
- Any payment in excess of the fair value is recognised as an expense.

The following entry is required:

Dr. Equity 5 directors * 1000 options * $9	$45,000
Dr. Profit or loss 5 directors * 1000 options * ($10-$9)	$5,000
Cr. Cash 5 directors * 1000 options * $10	$50,000

Answer

Cash-settled share-based payments

The entity acquires goods or services by **incurring liabilities** to the supplier of those goods or services for amounts that are based on the price (or value) of the entity's shares or other equity instruments

Dr. Profit or loss / Asset

Cr. Liabilities

- **Measurement**
  - ✓ **Re-measure** the fair value of the liability arising **at each reporting period**

- ☐ Allocating the expense to reporting date
  - ✓ When services are received in exchange for cash-settled share-based payments, the expense is recognized over the period that the services are rendered

Illustration – Cash-settled share-based payment
An entity has a reporting date of 31 December.
On 1 January 20X1 the entity grants 100 share appreciation rights(SARs) to each of its 300 employees, on the condition that they continue to work for the entity until 31 December 20X3.
During 20X1, 20 employees leave. The entity estimates that a further 40 will leave during 20X2 and 20X3.
During 20X2, 10 employees leave. The entity estimates that a further 20 will leave during 20X3.
During 20X3, 10 employees leave.
The fair value of a SAR at each reporting date is shown below:

20X1	$10.00
20X2	$12.00
20X3	$15.00

Required:
Calculate the expense for each of the three years of the scheme, and the liability to be recognised in the statement of financial position as at 31 December for each of the three years.

Year	Liability at year-end	Expense for year
	$000	$000
20X1((300-20-40)*100*$10*1/3)	80	80
20X2((300-20-10-20)*100*$12*2/3)	200	120
20X3((300-20-10-10)*100*$15)	390	190

Note that the fair value of the liability is remeasured at each reporting date. This is then spread over the vesting period.

Answer

Cash-settled share-based payments

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- **Share appreciation rights (SARs)**
- Employees become entitled to a future cash payment based on the increase in the entity' s share price from a specified level over a specified period of time.

✓ The fair value of each SAR comprises the **intrinsic value** (the cash amount payable based on the share price at that date) and **its time value** (based on the fact that the share price will vary over time).

✓ When SARs are exercised, they are accounted for at their **intrinsic value** at the exercise date.

✓ The **fair value** of a SAR could **exceed** its **intrinsic value** because SAR holders who don't exercise their rights at that time have the ability to benefit from future share price rises.

✓ At the end of the exercise period, the intrinsic value of a SAR will equal its fair value. The liability will be cleared and any remaining balance taken to P/L.

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TYU SAR

On 1 January 20X4 Growler granted 200 share appreciation rights (SARs) to each of its 500 employees on the condition that they continue to work for the entity for two years.
At 1 January 20X4, the entity expects that 25 of those employees will leave each year.

During 20X4, 20 employees leave Growler. The entity expects that the same number will leave in the second year.

During 20X5, 24 employees leave.

The SARs vest on 31 December 20X5 and can be exercised during 20X6 and 20X7. On 31 December 20X6, 257 of the eligible employees exercised their SARs in full. The remaining eligible employees exercised their SARs in full on 31 December 20X7.

TYU SAR (cont'd)

The fair value and intrinsic value of each SAR was as follows:

Year ended	*Fair value per SAR*	*Intrinsic value per SAR*
	$	$
31 December 20X4	5	
31 December 20X5	7	
31 December 20X6	8	7
31 December 20X7	10	10

Required:

*(a) Calculate the amount to be recognized as a remuneration expense in the statement of profit or loss and other comprehensive income, together with the liability to be recognized in the statement of financial position **for each of the two years to the vesting date**.*

*(b) Calculate the amount to be recognized as a remuneration expense and reported as a liability in the financial statements for **each of the two years ended 31 December 20X6 and 20X7***

(a) **The liability is remeasured at each reporting date**, based upon the current information available relating to known and expected leavers, together with the fair value of the SAR at each date.

The remuneration expense recognised is the movement in the liability from one reporting date to the next as summarized below:

Rep. date		**Liability**	**Expense**
31/12/X4	(500-20-20)*200*$5*1/2	230,000	230,000
31/12/X5	(500-20-24)*200*$7*2/2	638,400	408,400

Answer

b) Calculate the amount to be recognized as a remuneration expense and reported as a liability in the financial statements for each of the two years ended 31 December 20X6 and 20X7

Explanation

The number of employees eligible for a cash payment is 456 (500-20-24).

Of these, 257 exercise their SARs at 31/12/X6 and the remaining 199 exercise their SARs at 31/12/X7.

The liability is **measured at** each reporting date, based upon the current information available at that date, together with the **fair value** of each SAR at that date. Any **SARs exercised** are reflected at their **intrinsic value** at the date of exercise.

**This means SAR liability is measured at fair value at y/e and cash paid for SAR is based upon intrinsic value.*

Answer

(b)

Year ended 31/12/X6	
Liability b/d	638,400
Cash payment (257*200*$7)	(359,800)
Profit or loss (bal)	39,800
Liability c/d (199*200*$8)	318,400

Year ended 31/12/X7	
Liability b/d	318,400
Cash payment (199*200*$10)	(398,000)
Profit or loss (bal)	79,600
Liability c/d	nil

Answer

Other issues

Hybrid transactions

Entity choice

If a share-based payment transaction gives the entity a choice over whether to settle in cash or by issuing equity instruments. IFRS 2 states that:

- *The scheme should be accounted for as a cash-settled share-based payment transaction if the entity has an **obligation** to settle in cash.*
- *If no obligation exists to settle in cash, then the entity accounts for the transaction as an equity-settled share-based payment scheme.*

Hybrid transactions

Counterparty choice

Some share-based payment transactions give the counterparty the choice of settling in cash or in equity instruments. In this case, the entity has granted a **compound instrument** and so the credit entry must **be split between equity and liabilities:**

- *If the transaction is **with employees**, the equity element is calculated as the fair value of the equity alternative at the grant date less the fair value of the cash alternative at the grant date.*
- *If the transaction is **not with employees**, the equity element is calculated as the fair value of the good or service received, less the fair value of the cash alternative at the date of the transaction.*
- *The **liability element** is calculated as the fair value per the cash settled method (at the year-end).*

These amounts will be recognized over the vesting period.

TYU Choice of settlement

On 1 January 20X4 an entity grants rights to 20 employees. If still employed on 31 December 20X6, the employees can elect to receive either 800 options or cash to the value, on that date, of 700 shares. The fair value of the options is $19 at the grant date. The reporting date is 31 December.
The following information is available:

	Share price	*Expected vesters*
	$	
1 January 20X4	21	20
31 December 20X4	27	20
31 December 20X5	33	18
31 December 20X6	42	17

Required:
Calculate and explain the impact of the share-based payment on the financial statements for each of the three years.

Split accounting
The employees have a choice of settlement – they can take settlement in equity instruments or in cash. When accounting for the share-based payment, the credit entry must be split between equity and liabilities.

Equity
The fair value of the equity component is calculated as the fair value of the equity alternative at the grant date less the fair value of the cash alternative at the grant date.
Fair value of the equity alternative at grant is : 800*$19 = $15,200
Fair value of the cash alternative at grant is: 700*$21 = $14,700
Therefore the fair value of the equity component at grant is $500 per employees ($15200-$14700).

Accounting treatment
The equity component has been valued at the grant date. This will be recognized over the vesting period.
The liability component will be remeasured at each reporting date and the expense recognized over the vesting period.

Answer

Year ended 31/12/X4
Equity component: 20*$500*1/3=$3,333
Liability component: 20*700*$27*1/3=$126,000
The entry will be:
Dr. Profit or loss $129,333
Cr. Equity $3,333
Cr. Liability $126,000

Year ended 31/12/X5
Equity component: 18*$500*2/3=$6,000
Liability component: 18*700*$33*2/3=$277,200
The entry will be:
Dr. Profit or loss $153,867
Cr. Equity $2,667
Cr. Liability $151,200

Year ended 31/12/X6
Equity component: 17*$500*3/3=$8,500
Liability component: 17*700*$42*3/3=$499,800
The entry will be:
Dr. Profit or loss $225,100
Cr. Equity $2,500
Cr. Liability $222,600

**This means liability component is always remeasured at fair value at y/e and equity component is based upon grant date value.*

Answer

Issues on this topic

- *SBR SPECIMEN PAPER Q4*
- SBR 2019 SEP/DEC Q1 (C)

- ***Article IFRS 2 Share-based payment***

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